

American Maize Products

Year	Net before depreciation*	Depreciation*	Fixed charges and pfd. dividends*	Balance for common*	Earned per share
1933	\$1,022	\$301		\$721	\$2.40
1932	687	299		388	1.29
1931	460	299		161	0.54
1930	1,246	306	22	918	3.06
1929	1,835	312	80	1,443	4.81
1928	906	317	105	484	1.61
1927	400	318	105	23(d)	0.08(d)

* 000 omitted.

Capitalization (as of January 1933)

Item	A. E. Staley	American Maize Products
6% bonds	(\$4,000,000* @ 75) \$3,000,000	
\$7 pfd. stock	(50,000 sh. @ 44) 2,200,000	
Common stock	(21,000 sh. @ 45) 950,000	(300,000 sh. @ 20) \$6,000,000
Total capitalization	\$6,150,000	\$6,000,000
Average earnings, 1927–1932, about	900,000	615,000
% of these earning on 1933 capitalization	14.6%	10.3%†
Average earnings per sh. of common	\$14.76	\$1.87
% earned on price of common	32.8%	9.4%†
Working capital, Dec. 31, 1932	\$3,664,000	\$2,843,000
Net assets, Dec. 31, 1932	\$15,000,000	\$4,827,000

* Deducting estimated amount of bonds in treasury.

† The difference between these two figures is due to the varying treatment of the preferred stock outstanding during 1927–1930. A very small amount of preferred stock remaining in 1931–1933 is ignored in the above calculations.

Speculative Capitalization May Cause Valuation of Total Enterprise at an Unduly Low Figure. The market situation of the Staley securities in January 1933 presents a practical confirmation of our theoretical analysis of Company C above. The top-heavy capitalization structure resulted in a low